

ETH-04 · CODE OF ETHICS

Conflicts of interest in project controls

Crossing sides, gifts, relationships in the supply chain, and auditing your own estimate

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PROJECT CONTROLS INSTITUTE GLOBAL, INC.
AI proposes. The professional disposes.

— Summary

How conflicts of interest arise in a project controls function and what to do about each of them: moving between contractor and client, gifts and hospitality, family and personal relationships in a supply chain, and the most common structural conflict of all — acting as both the author and the assurer of the same estimate. Sets out the test the Code applies, what a usable disclosure actually contains, the safeguards that work, the point at which disclosure is not enough, and why the legal position on inducements varies so much between jurisdictions that local advice is not optional.

— About this document

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Conflicts of interest in project controls

In one paragraph. This document explains how conflicts of interest arise in project controls and what to do about them: moving between contractor and client, gifts and hospitality, family and personal relationships inside a supply chain, and the structural conflict created when the same person prepares and assures the same estimate. It sets out the test the Code applies, what a usable disclosure contains, the safeguards that work and the ones that only look like safeguards, the point at which disclosure is not enough and withdrawal is the only answer, and why the legal treatment of inducements varies so widely between jurisdictions that qualified local advice is a necessary step rather than a cautious one.

Who this is for. Cost engineers, planners, quantity surveyors, estimators, controls managers and heads of function — and the procurement, audit and governance colleagues who have to rely on their independence.

— 1. The three things people get wrong about conflicts

It is not an accusation. Most conflicts arise from ordinary professional life: people change employers, families work in the same industry, small markets have few suppliers, and a good estimator is often the person best placed to review an estimate. Having a conflict says nothing about your character. Failing to declare one says a great deal.

It is not about whether you would actually be influenced. [ETH-01 §12.1](#) sets the test as what a reasonable, informed observer would conclude — not whether you believe yourself to be objective. The reason is structural: assurance has no value if the reader has to take the assessor's self-belief on trust. A conflict damages the usability of your conclusion even when it has not touched your reasoning.

It is not resolved by feeling uncomfortable about it. A conflict is resolved by disclosure to someone who can act, a recorded safeguard, and — where the safeguard is insufficient — withdrawal. Private discomfort is not a control.

There is one further mistake worth naming because it is common among honest, senior people: the belief that declaring a conflict looks weak. In practice a declared interest is an administrative fact that takes ninety seconds to record. An undiscovered one that emerges later is the only thing anyone remembers about the project.

— 2. The test, and the three states

[ETH-01 §12.1](#) covers three states, and they are treated the same way:

State	Meaning	Example
Actual	An interest that is influencing, or could influence, the judgement now	You hold a shareholding in a bidder you are evaluating
Potential	An interest that will become live if something foreseeable happens	You are in advanced discussions about a job with a bidder
Perceived	An interest that a reasonable observer would think capable of influencing the judgement, whether or not it is	Your sibling is a manager at the incumbent supplier, in an unrelated division

All three are disclosed. The difference between them affects the safeguard, not the duty. A perceived conflict frequently needs nothing more than a recorded declaration; an actual one usually needs the person removed from the decision.

Two working questions cut through most cases faster than the categories do:

1. **Would I be comfortable if the person relying on my conclusion learned about this from someone other than me?** If not, disclose it now.
2. **If this decision goes the way my interest points, what will it look like?** Conflicts are judged after the outcome is known, not before.

— 3. Moving between contractor and client

The most common conflict in this discipline, because career progression in project controls routinely crosses the contractual divide. It creates three distinct problems, and they need separating because they have different answers.

3.1 Confidential information you carry

You do not un-learn a former employer's rates, margins, productivity norms, claims strategy or bid position, and [ETH-01 §9.6](#) makes clear that confidentiality survives the employment. The obligation is not to erase your memory; it is not to use or disclose that specific information in the new role.

The distinction that matters — and the one that keeps you employable — is between **capability** and **information**. Your judgement about what a reasonable productivity rate looks like is capability and it travels with you. Your knowledge that a specific former employer prices that activity at a specific rate on a specific job is information and it does not. If you cannot tell which you are drawing on, that in itself is the signal to stop and take advice.

Practical consequences on day one in the new role: bring no documents, no files, no models, no contact-extracted data; do not reconstruct a former employer's rate build-up from memory as a "benchmark"; and do not offer to.

3.2 Sitting on the other side of a live matter

The sharpest case: you move from contractor to client, and the client is in a live commercial dispute with your former employer — one where you personally built the delay analysis or the claim narrative.

Nothing about this is automatically improper, and a blanket rule that people cannot change sides would be both unenforceable and bad for the profession. What is required is disclosure before you touch the matter, and a safeguard proportionate to your involvement. In ascending order of severity: a recorded declaration; exclusion from the specific negotiation while continuing the wider role; a formal information barrier; and, where you were the author of the position now being argued against, complete withdrawal from the matter.

Note also that your new employer's interest and your former employer's interest are both live here, and that your former employer's confidentiality claim does not evaporate because your new employer would find the information useful. That is exactly the pressure [ETH-01 §9.2](#) exists to resist.

3.3 The role you are about to take

A conflict exists from the moment a job discussion becomes real, not from the moment you accept. Evaluating a bid from an organisation you are interviewing with is a live conflict, and it is one that is discovered later with unpleasant regularity, because recruitment leaves a trail.

The rule that works: **the day a conversation about a role becomes a process — an application, an approach you have engaged with, an interview — you declare it and step out of anything touching that organisation.** Waiting until an offer arrives is too late; the decisions you took in between are the ones that will be examined.

Restrictions in an employment contract on where you may go next are a separate matter entirely, they vary enormously between jurisdictions and are not always enforceable — that is a legal question for a qualified adviser in your own jurisdiction, not a professional-conduct question, and this Code does not address it ([ETH-01 §3.3](#)).

— 4. Gifts, hospitality and inducements

4.1 What the Code says, and what it does not

[ETH-01 §12.5](#) prohibits accepting or offering any inducement intended to influence a professional conclusion, a valuation, a certification, an award or a decision, and sets the working standard as: **nothing accepted or offered which you would be unwilling to disclose to the person relying on your judgement.**

The Code deliberately does not set a monetary threshold, and neither should you rely on your employer's threshold as the test. A threshold is a reporting trigger — a useful administrative device that tells you when to write something down. It is not the ethical boundary. A modest gift delivered the week before a tender evaluation is a problem; an expensive but routine industry conference attended by everybody is often not. Timing and specificity matter more than value.

4.2 The three questions that resolve most cases

1. **Timing.** Is there a live decision, evaluation, valuation, claim or renewal in which this party has an interest? If yes, decline — the timing alone creates the perception.
2. **Specificity.** Is this available to the market generally, or is it directed at me? A supplier's technical seminar is different from a supplier's weekend.

3. **Disclosure.** Would I be content for the counterparty to my next commercial decision to see this in a register with my name against it? If not, the answer is already clear.

4.3 The legal position varies — and this is the part to take seriously

Laws on bribery, corruption, facilitation payments and hospitality differ substantially between jurisdictions. Some apply extraterritorially to conduct outside the country where the organisation is based; some create liability for an organisation arising from an employee's act; some treat modest facilitation payments as lawful and others prohibit them absolutely; and public-sector counterparties are frequently subject to rules far stricter than commercial ones. Penalties can be personal as well as corporate.

This Code states a professional standard. It does not state the law of anywhere. Where a gift, payment, commission, agency arrangement, sponsorship or hospitality question has any substance to it, the correct step is advice from a qualified adviser in the relevant jurisdiction and compliance with your organisation's policy — before the thing happens, not after (ETH-01 §3.3.4).

— 5. Family and personal relationships in the supply chain

5.1 Why this one is under-declared

Because it feels intrusive to declare, because the relationship usually predates the project, and because in specialised markets it is unavoidable. A planner whose partner works for the engineering consultancy on the same programme has done nothing wrong, and in a small national market may have no alternative employer.

Under-declaration is nonetheless the common failure, and it converts a manageable fact into a governance incident the day someone else notices.

5.2 What to declare

Declare where a person with whom you have a close personal or financial relationship — partner, family member, household member, close friend, or someone with whom you share a financial interest — is in a position to benefit from, or be affected by, a decision you influence. That includes their employment by a contractor, supplier, bidder or consultant in the chain; their ownership of or material interest in one; and their role in a body that assesses, audits or approves your work.

Declare the relationship and the position. You do not need to disclose the details of your private life, and a well-run register does not ask for them: "my sibling is a project manager at [supplier], in the division supplying the electrical packages" is a complete declaration.

5.3 Safeguards that work

Reallocating the specific decision; excluding you from evaluation panels or valuation approvals touching that party; having a named independent reviewer sign the elements that touch it; and recording all three in the register with a review date. Where you are the head of function and the supplier is material, the honest answer may be that no internal safeguard is sufficient and the review must be done outside the function.

5.4 The recruitment case

Recommending or approving the engagement of a family member, a former colleague or a friend as a contractor or consultant is a conflict in exactly the same way, and is frequently treated as a courtesy rather than a decision. Declare it and remove yourself from the selection and from the subsequent approval of their invoices — the second half is the one people forget.

— 6. Self-review: the estimator who audits the estimate

6.1 The most common structural conflict in this discipline

ETH-01 §12.4 prohibits providing independent assurance over your own work, or over work you directed. In project controls this is breached constantly, and almost never on purpose. It happens because of resourcing: the only person who understands the estimate well enough to review it in the time available is the person who built it.

Recognisable forms:

- preparing an estimate and then performing the estimate review or benchmark check on it;
- writing the controls procedure and then assessing compliance with it;
- owning the forecast and chairing the challenge session on it;
- building the risk model and then providing the assurance opinion on its adequacy;
- producing the monthly report and then conducting the health check that says reporting is effective.

6.2 Why "I was rigorous with myself" is not an answer

Self-review fails for a reason that has nothing to do with honesty. A reviewer's value comes from holding assumptions that the author does not hold. The author's blind spots are, by construction, invisible to the author — which is the entire mechanism by which review adds anything. A rigorous self-review is a better estimate, and it is worth doing; it is not assurance, and reporting it as assurance misdescribes what was performed.

6.3 What to do when there is genuinely nobody else

Small functions have this problem permanently. Four workable answers, in descending order of strength:

1. **Cross-review within the function.** The planner reviews the cost engineer's basis of estimate and vice versa. Not perfect independence, but genuine difference of perspective, and free.
2. **Independence at the level above.** The estimate is reviewed by someone outside the project — a functional head, a peer project, a central estimating group — even if their review is lighter than you would like. Independence with less depth usually beats depth with no independence.
3. **Structured self-challenge, correctly labelled.** Where nobody else exists, perform a documented self-challenge against a defined checklist and **report it as what it is**: "self-review by the author; no independent review performed". That single sentence transfers the risk decision to the person relying on the estimate, where it belongs.

4. **Escalate the gap as a controls finding.** A function that cannot independently review its own principal outputs has a control weakness. Record it in the risk register with an owner rather than absorbing it silently.

Option three is the one worth internalising. The breach in §12.4 is not performing a review of your own work — it is presenting that review as independent.

6.4 The related trap: assurance over a tool you selected

If you chose, championed or configured the reporting or analytics tool, you are not the right person to assure that the data it produces is reliable. This has become sharper as controls functions adopt AI-assisted analysis: the person who introduced the tool has an interest in the answer to "is it working?", and the honest route is the same as above — declare it, get independence where you can, label it where you cannot. See [ETH-05 – The ethical use of AI and data](#) for the verification obligations that sit alongside this.

— 7. Making a disclosure that is actually usable

Most declarations are useless because they state a fact and stop. A usable disclosure has four parts — what the interest is, how close it is, what it touches, and what you propose.

Illustrative fragment. Fictitious; for structure only.

Field	Entry
Person	Controls manager, Package 4
Interest declared	Sibling is a commercial manager at a company invited to tender for the electrical installation package
Nature and closeness	Immediate family; sibling is employed in the tendering division; no financial interest held by me in the company
What it touches	Tender evaluation for Package 4; subsequent valuation approvals and variation assessment for that package if awarded
Date the interest arose	Pre-existing; became relevant on the date the tender list was issued
Proposed safeguard	I withdraw from tender evaluation and scoring; valuations approved by the senior QS; my involvement limited to schedule integration
Decided by	Project director
Review date	At award, and thereafter at each contract milestone

Three properties make this work. It names the decisions affected rather than the relationship in the abstract. It proposes the safeguard rather than leaving it to someone else to invent under time pressure. And it has a review date, because conflicts change: an interest that was immaterial at tender may be decisive at final account.

Send it in writing, keep a copy, and make sure it reaches someone with the authority to act on it. A disclosure to a peer is a conversation; a disclosure to the decision owner is a control.

— 8. When disclosure is not enough

Disclosure manages a conflict. It does not neutralise one. [ETH-01 §12.3](#) requires withdrawal where the conflict cannot be managed, and the cases where that is so are reasonably clear:

- where you have a **direct financial interest** in an outcome you influence — a shareholding, a commission, a success fee, an interest in a bidder;
- where you would be **assuring your own work**, and no independent alternative can be arranged (§6.3 option three is the fallback, not a permission);
- where you hold **confidential information from one party** whose use would benefit another party you now serve;
- where you are being asked to act **for two parties whose interests genuinely oppose** on the matter in question;
- where the perception alone would **destroy the usefulness** of the conclusion — an assurance opinion that no reader will credit is not worth issuing.

Withdrawal is stated plainly and early: "I'm declaring an interest in this and standing out of the evaluation. Here is what I can still do." The second sentence matters. Withdrawal from a decision is not withdrawal from the job, and framing it precisely keeps the function working.

Where a conflict cannot be managed and the organisation nonetheless requires you to act, that is no longer a conflicts question — it is [ETH-01 §5.9](#), escalate and record.

— 9. Conflicts inside the Institute

The Institute is subject to the same discipline it imposes, and says so. Examiners, item writers, subject-matter experts, committee members and reviewers hold interests too — as employers of candidates, as training providers, as consultants to organisations seeking certification. The Institute's arrangements for managing that are governed under the Certification & Impartiality Committee.

[\[CONFIRM: whether PCI maintains a declarable-interest register for committee members, examiners, item writers and subject-matter experts, and the threshold and review cycle for declarations\]](#)

[\[CONFIRM: whether a certificant must notify PCI of a conflict of interest they were unable to manage, and in what circumstances\]](#)

Two points do not depend on those confirmations. PCI owns the standard and the examination; the Institute's official preparation and training partner is a separate organisation, and the two are never blurred. And a person who assesses a candidate they have trained, employed or supervised has a conflict of exactly the kind described in §6 — the remedy is the same.

— 10. How this goes wrong

The declaration nobody reads. An interest recorded in a register that is never reviewed, with no safeguard attached and no review date, is filing rather than managing. The test of a register is whether anything ever changes as a result of an entry.

Declaring late. After the evaluation, after the award, after the valuation. The disclosure obligation attaches before the judgement is exercised ([ETH-01 §12.2.1](#)) — a declaration made after the decision protects nobody, least of all you.

Treating the threshold as the ethics. "It was under the limit" answers the wrong question. See §4.1.

Managing the obvious conflict and missing the structural one. Functions police gifts assiduously and then let the same person build and assure the estimate every month. The second one affects more decisions.

Assuming seniority is a safeguard. The more senior the person, the fewer people are able to challenge their judgement — which makes their conflicts more consequential, not less.

Confusing a conflict with a disagreement. Someone reaching a conclusion you dislike is not evidence of a conflict, and alleging one is a serious matter. If you believe a conflict exists, raise the interest and the decisions it touches; do not raise the conclusion you disagree with.

— 11. Checklist

Use before an evaluation, a valuation, an audit, an assurance opinion, or any decision touching a supplier.

- [] Do I, or does someone close to me, have any financial interest in any party to this decision?
- [] Have I worked for, been engaged by, or discussed a role with any party in the last two years? (Two years is a working convention, not a rule — use your own organisation's period if it has one.)
- [] Does anyone close to me work for, own part of, or benefit from any party here?
- [] Am I about to review, assure or approve something I produced or directed?
- [] Have I received anything from any party — gift, hospitality, sponsorship, travel, a favour — in a period where a live decision existed?
- [] Do I hold confidential information from one party that this role would tempt me to use?
- [] Would I be comfortable if every party to this decision saw my answers to the above?
- [] If I answered yes to any of these: is it declared, in writing, to someone who can act, with a proposed safeguard and a review date?

A conflict that is declared, safeguarded and reviewed is a routine administrative fact. The same conflict, undeclared, is the reason a competent professional's judgement stops being usable — and it is the reader's loss before it is ever the professional's.

— Related

- [ETH-01 – The PCI code of ethics and professional conduct](#) — §12 states the binding obligations this document explains
- [ETH-02 – The principles explained](#) — the reasoning behind the perception test in §4.4

- [ETH-06 – Raising concerns: complaints, investigations, sanctions](#) — the route when a conflict is being ignored
- [BPG-19 – Project controls assurance and health checks](#) — how to build independence into a review programme

— Sources and standards

- [ETH-01 – The PCI code of ethics and professional conduct](#) (this framework) — §9, §12 and §3.3.
- PCI Code of Professional Conduct (predecessor instrument), [docs/downloads/code-of-professional-conduct.md](#), repository copy read August 2026 — Principle 4 and Principle 3.

No external legal source is cited, and none should be inferred. The statements about variation in bribery, corruption and employment-restriction law are general observations that a qualified adviser in the relevant jurisdiction can confirm for the reader's circumstances; this document is not legal advice.

— Status and version

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